

Venture opportunity evaluation:	EverUp
Class:	Entrepreneurial Finance
Student:	Ferdinando Catania
Teacher:	Dimo Dimov

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Evaluation of the investment proposal: EverUp

1. Introduction

EverUp is an UK app that allows you to save money and at the same time have the opportunity to earn money. The basic concept is that the more you save the more you accumulate virtual money (coins) which allow you to win real money.

This project leverages two key aspects which are the need to save money and a reason to start saving them, to do it the founders thought the classic method of attracting customers by offering free money, this methodology is now well tested and is used by almost all the most modern monetary app (see hype, N26, Revoult, Yap), in this case, however, the free money does not come from direct advertising by customers, but from games whose winnings are either virtual money or real money, so the customer is tempted to save money because in addition to the benefit of saving money increases the possibility of winning more according to a logic of more you save and more you can win.

The main points of the app are:

1. The first step is to load money on the monetary account, the transition will be a classic bank transfer and the money saved will be guaranteed by FSCF security
2. The accumulated coins can be used to play the lottery and to win up to £365,000
3. Money can be withdrawn at any time without any difficulty and in maximum security

After explaining the project in general, I am going to detail all the most relevant factors in order to assess the feasibility of the proposal, in the end I will draw the conclusions of my analysis explaining why I would invest or not in this proposal.

2. Feasibility Analysis

In this analysis I will discuss the critical issues that in my opinion are fundamental to the success of this project, highlighting all its weaknesses and strengths.

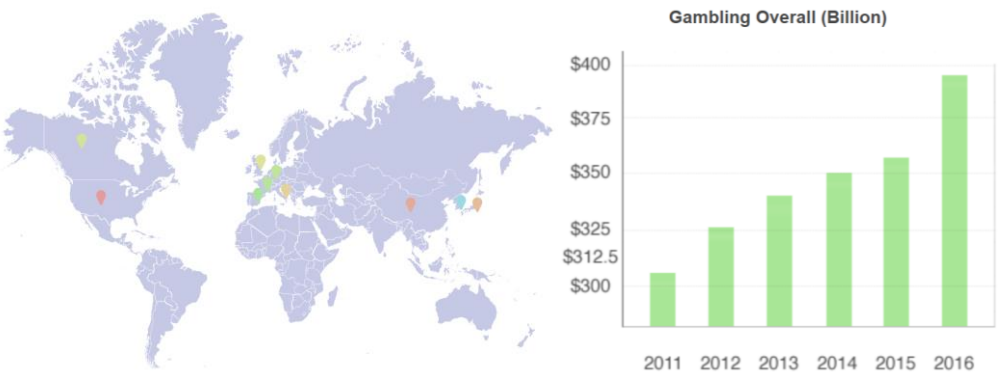
The following aspects will be achieved: marketability, competitors, and business model. The main source is the proposal document [1], other external sources were reached to verify and/or further investigate the reliability of various points.

2.1 Marketability

According to the proposal document, the strength of the project is based on the fact that the customers will find satisfaction in using the app, in fact, UK statistics say that:

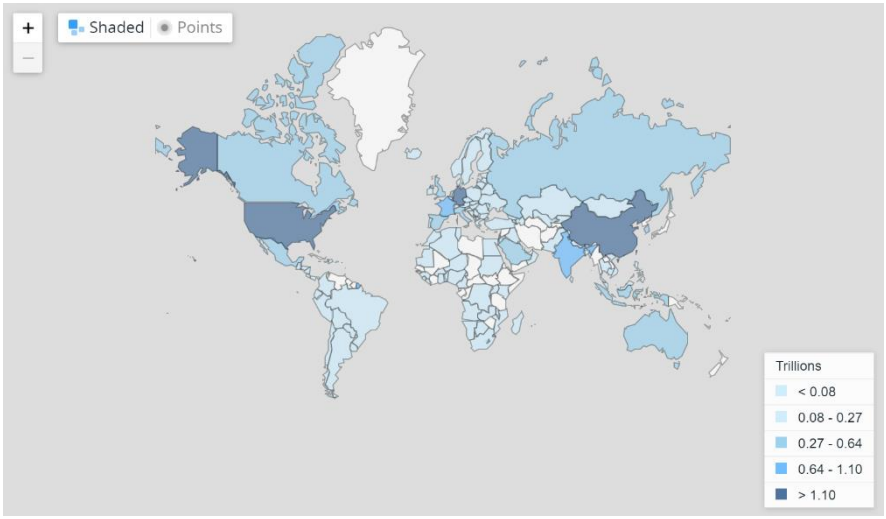
- 70% of UK adults are regular lottery participants
- 14.4 million adults are not saving at all
- 26.5 million adults do not hold adequate asset balances in either rainy day or pension savings

So, the first step to believe and then to invest in this project is to compare these data on a global scale imagining soon the possibility of making this project available to the entire world market.



According to the study of casino.org [2], we can see how gambling is increasing in the richest countries of the globe such as USA and China in addition, among the various games of chance, the lottery seems to be the most trendy as it allows people to dream big despite the low chance of winning. This analysis suggests application market compatibility between the UK and global markets

The second step is to verify the need for savings by possible international customers.

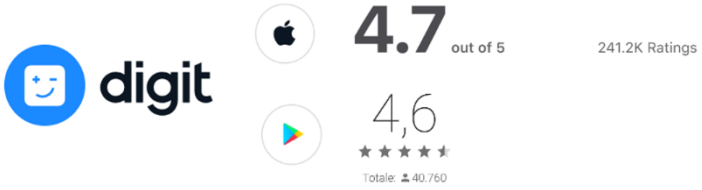


A global savings map [3] shows that in China and US more than 1.1 trillion dollars are saved, this study together with the one about gambling, highlights the large market that these countries offer and therefore an excellent business opportunity for this proposal.

2.2 Competitors

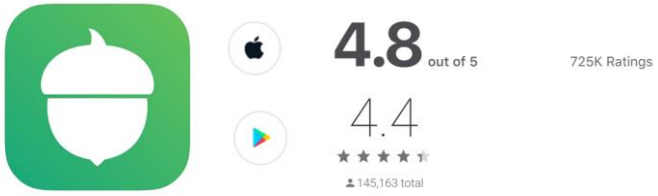
In this paragraph I will reach two of the most important competitors by looking for their progress and weaknesses.

The first competitor app I reached is digit.co [4], It was launched in 2018 and It got a lot of ratings (about 300k) with 4.7 out of 5 points between google and apple store.



This app makes automatic withdrawals and transfers it to your savings without you even thinking about it, thus you get a bonus of 1% which is added to your account based on your 3-month daily balance average. On the other hand, you have to pay a monthly charge of $ 5.00, you don't have any phone or chat support and the app is only currently available for US.
In two years "digit" has taken the trust of customers who have saved more than a billion dollars in it, the confidence in saving money in this app comes from using state-of-the-art encryption which keep your data safe.

The second app I reached is Acorns [5], It give you a percentage of earnings (1%-2% a month) on the money you save, It is linked to your bank account and automatically decide how much you have to invest according to you preferences. It costs $ 1 a month and your money are safe thanks to the SIPC (securities investor protection corporation) which protects them up to $ 500,00.



It has more than 800k ratings with a score of about 4.8 out of 5 (considering apple users about 6 times android users).
It also was founded in 2018 and It seems to be growing more and more offering a good rate of return with no risk.

These two apps offer good earnings with an automatically investment process, they both requires a monthly payment, and both follow the logic of the more you invest the more money you can earn.

For these simple reasons, EverUp seems to best competitor because it's free and it entices the customer to save more and more by exploiting the addiction of gambling, It will work as a start-up engine able to raise, according to my point of view, the number of customers and taking maybe a part of these customers from other saving money apps.

2.3 Business model

The credibility of this proposal lies on its revenue model; the document proposal shows that in the first phase of launching the revenue comes from interest on savings from third-party bank, fees and percentage on customer purchases within retailer network while in the second phase will be added monthly subscription.
Actually, I do not have any financial planning available to comment on the following proposal and the uncertainty behind it is huge and represents the real stumbling block for investors.
How do I calculate the return this app can offer me as an investor? What data is available and what happens if the plan does not work out? Is there a plan B? Here, these are the questions I as an investor would have liked to have answered.

I can only evaluate the launch program which seems to be excellent, It reflects an excellent managerial profile with all professional figures who come from high educational institutions forming a solid young and functional team work.

3. Final Considerations

After researching the main factors of analysis, I can say I would invest in this project because it offers a way to save money with a mode completely different from other competitors on the market, the substantial

novelty is exploiting weakness of the human being on gambling and exploiting this problem as an indirect advertising, I think this idea is brilliant.
The security offered on the money transferred and the ability to withdraw it at any time are obviously the strong points that any customer wants to make sure for before starting.

I also noticed that the market for this app can go beyond the UK borders thus amplifying the possible revenue.

Thus, the company structure seems to be well educated describing step by step all the details of the launch.

The only insecurity comes from the risks associated with the revenue, the proposal in fact does not present a clear revenue program for investors. I would consider it as a part of the "investment risks" which are obviously high in all such investments.

These kind of projects in fact depend on the trust of the costumer on digital mechanisms such as bank transitions or investments with periodic income, this implies that the trust could collapse suddenly according to unforeseen events such as hacker attack or return to the use of cash (distrust of banks), but, according to my point of view, both these hypotheses are without foundation considering also that security systems are becoming more and more effective.

4. References

[1] everup-everup-investment-deck.pdf

[2] Global Gambling Statistics 2021 - A List of the World's Gambling Capitals (casino.org)

[3] Gross savings (current US$) | Data (worldbank.org)

[4] Digit | Effortless saving and investing

[5] Acorns - Invest, Earn, Grow, Spend, Later | Acorns